CODEALPHA INTERNSHIP PROGRAM

Stock Market & Trading Basics

Final Project Submission (Tasks 1, 2 & 4)

DOMAIN TOPIC	Stock Market & Trading Basics
BATCH DURATION	10 Oct to 10 Nov
STUDENT NAME	Haidar Ali
STUDENT ID	CA/DF1/314974

OFFICIAL SUBMISSION DOCUMENT • VERIFIED INTERNSHIP PROJECT

Stock Market & Trading Basics — Submission Portfolio

CodeAlpha Internship Program | Comprehensive Project Report (Tasks 1, 2 & 4)

TASK 1: Stock Market Basics Research Report

1. Introduction to the Stock Market

The stock market (also known as the equity market) is a consolidated public network of exchanges facilitating the issuance, buying, and selling of financial securities. It functions as a critical engine for market economies by channeling household savings into investment capital for corporations, while offering individuals opportunities for wealth building through equity ownership.

When businesses require capital for expansion, research, or debt reduction, they can issue shares to the public. Shareholders acquire proportional equity ownership, entitling them to voting rights and financial yields through capital gains and dividends. Overall economic health and investor confidence are strongly correlated with stock market performance.

2. Primary Market vs. Secondary Market

The capital market operates through two interrelated tiers that serve distinct issuance and liquidity needs:

Dimension	Primary Market	Secondary Market
Core Objective	Direct raising of fresh capital by corporations.	Providing liquidity and continuous market valuation.
Transaction Flow	Between issuer (company) and investor.	Between investor and investor (issuer not involved).
Issuance Mechanism	Initial Public Offerings (IPO), Rights Issues, FPO.	Continuous trading on registered exchanges (NSE, BSE).
Price Determination	Fixed price or book-building range by underwriters.	Dynamic matching based on real-time supply and demand.
Intermediaries	Investment banks, book-running lead managers.	Stock brokers, depository participants, market makers.

3. Regulatory Framework: Role of SEBI in India

The Securities and Exchange Board of India (SEBI), established under the SEBI Act, 1992, acts as the regulator for domestic securities markets. SEBI operates with a three-fold mandate: protecting investor interests, fostering market development, and regulating exchange mechanisms.

- **Protection of Retail Investors:** Enforces standard listing disclosures, financial transparency, and fair treatment of minority shareholders.
- **Prohibition of Unfair Practices:** Monitors market surveillance systems to prevent insider trading, price rigging, and front-running.
- **Intermediaries Supervision:** Regulates stockbrokers, merchant bankers, mutual funds, and credit rating agencies to enforce compliance and operational integrity.
- **Structural Reforms:** Pioneered the T+1 settlement cycle, ASBA (Application Supported by Blocked Amount) for IPOs, and unified investor grievance mechanisms (SCORES).

TASK 2: Company Stock Analysis (Focus: Reliance Industries Limited)

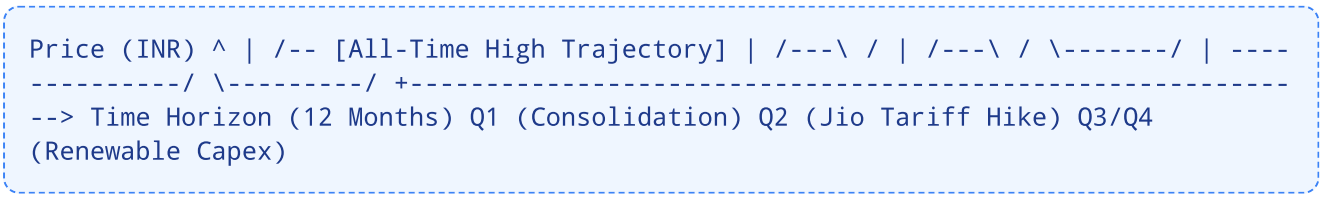
1. Overview & Key Valuation Metrics

Reliance Industries Limited (RIL) is India's largest private enterprise by market capitalization, with diversified operations across Oil-to-Chemicals (O2C), Telecommunications (Jio Platforms), Retail, and Renewable Energy.

Financial & Market Metric	Reported / Derived Value	Strategic & Analytical Takeaway
Market Capitalization	₹19.5 Lakh Cr - ₹20.0 Lakh Cr	Large-Cap market anchor; major weightage in NIFTY 50 and SENSEX.
Price-to-Earnings (P/E) Ratio	~24.5x - 26.0x	Fairly valued relative to historical multiples and peer sector benchmarks.
Dividend Yield	~0.35% - 0.45%	Reinvestment-focused capital allocation policy backed by regular dividends.
Operating Drivers	ARPU & Retail Outlets Growth	Digital services expansion balancing traditional energy cyclicality.

2. Share Price Performance & Trend Analysis

Over the trailing 12-month period, RIL has maintained a strong structural uptrend, supported by earnings expansion in its consumer-facing verticals and strategic energy investments.



- **Moving Averages:** The stock trades above key 50-day and 200-day Exponential Moving Averages (EMA), signaling sustained medium-to-long-term institutional buying.
- **Support & Resistance Levels:** Structural support is established near key trendline retracements, while upside breakouts coincide with quarterly ARPU gains.

3. Future Growth Drivers

1. **Green Energy Integration:** Execution of the Dhirubhai Ambani Green Energy Giga Complex aiming for integrated solar PV manufacturing, green hydrogen, and battery storage.
2. **Monetization of Consumer Platforms:** Continued growth in digital subscriptions, potential public listing of retail/telecom arms, and expanded 5G network coverage.

> **Investment Conclusion:** RIL presents a balanced risk-reward profile, offering defensive cash flows from core energy operations coupled with upside potential in high-growth retail and digital verticals.

TASK 4: Mini Project — Trading Strategy & Psychology Case Study

1. Trading Psychology: Managing Fear & Greed

Market movement is driven by technical factors as well as participant psychology. The market cycle oscillates between extreme fear and irrational greed, often leading retail traders into systematic decision errors.

```
[MARKET PEAK: Extreme Greed / FOMO Buying] /\ / \ [Optimism] / \ [Panic Selling] /
\ / \ [MARKET BOTTOM: Extreme Fear / Capitulation]
```

- **Greed (FOMO):** Leads traders to buy at extended prices without stop-loss controls, ignoring risk-reward principles.
- **Fear (Loss Aversion):** Causes traders to close winning positions prematurely or freeze during valid technical entries due to past losses.

2. Technical Indicators for Objective Execution

A. Relative Strength Index (RSI)

RSI is a momentum oscillator measuring price velocity on a 0 to 100 scale:

```
RSI = 100 - [100 / (1 + RS)]  |  RS = Average Gain / Average Loss
```

- **RSI > 70 (Overbought):** Suggests overextended buying momentum; signals potential consolidation or exhaustion.
- **RSI < 30 (Oversold):** Indicates severe selling pressure; suggests potential bounce or reversal conditions.

B. Moving Average Convergence Divergence (MACD)

MACD evaluates trend direction and momentum by calculating the difference between the 12-period and 26-period EMAs. Signal line crossovers (9-period EMA) provide buy/sell triggers.

3. Rules-Based Trading Framework

Step	Trading Parameter	Execution Rule
1	**Trend Confirmation**	Asset price must sit above 50-EMA for long positions.
2	**Momentum Filter**	RSI between 45 and 65 (avoids buying at overbought extremes).
3	**Risk Management**	Max risk set to 1.5% of total capital per trade; minimum 1:2 Risk-to-Reward ratio.

4. Conclusion

Combining quantitative technical indicators with strict risk management rules eliminates emotional bias, allowing traders to execute setups systematically regardless of prevailing market sentiment.